Leading the Companies

After formulating the components of his restructuring programme, Ratan empowered the heads of the major companies, in particular, to be the vanguards of change in their organizations. His management style won the hearts of the management and the workforce. Hussain recalls that the MDs and other senior functionaries of the group rose to the call to reformation. ‘He was like the general for whom they would give up their lives,’ he says. They coalesced under him.

He had a specific reason to focus attention on the large companies. ‘Shielded from competition by the restrictive bureaucracy of the “Licence Raj”, Tata companies became bloated and calcified. “We weren’t driving ourselves hard enough in a protected environment,”’ said Ratan.

Ratan’s priority was to set right the two marquee group companies, TISCO and TELCO, which together contributed over 70 per cent of the total market cap of all the Tata companies that had found a place in the Bombay Stock Exchange (BSE) 100 in 1992. Importantly, at the time when TCS was not the giant it is today, the group’s future depended on them. He was already the chairman of TELCO and would become that of TISCO in 1993. To strengthen the group companies, he travelled extensively, employing his ‘fantastic combination of visionary excellence and operational skills’, recalls Muthuraman.

Ratan’s secondary focus was on five other major companies—Tata Chemicals, Tata Consultancy Services, Indian Hotels, Tata Power and Tata Consumer Products. He also looked at the new areas of finance, telecom, defence and retail. The changes he brought about in these companies were far-reaching, revolutionary and ahead of his times. From increasing Tata Sons’ stake in its companies, to divesting from non-core companies such as detergents, cement, cosmetics, paints and textiles, to strengthening the existing ones, the transformation was all-encompassing. During the group’s transformation phase, Ratan put in eighteen hours a day and got his ‘high from work’, recalls Rajiv Dube. By the time he had completed six years,